

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

YSN IMPORTS INC. D/B/A/ FLAME KING, *Complainant*

v.

FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC.,
U SHIPPERS GROUP MANAGEMENT CO., INC., *Respondents.*

DOCKET NO. 21-02

Served: January 21, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER ON PENDING MOTIONS AND FOURTH AMENDED SCHEDULE

I. Overview

On January 6, 2022, Complainant YSN Imports Inc. d/b/a/ Flame King (“YSN”) filed a motion to compel document requests (“Compel Motion”), a motion for confidential treatment of the motion to compel (“Confidential Treatment Motion”), and a motion seeking an extension of deadlines in the revised scheduling order (“Extension Motion”).

On January 7, 2022, Respondents Feige “Peggy” Oberlander, U Shippers Group Inc. (“Association”), and U Shippers Group Management Co., Inc. (“Management”) filed a motion to file its expert report under seal (“Seal Motion”).

On January 11, 2022, Complainant filed its opposition to Respondents’ motion to file expert reports under seal (“Seal Opposition”).

On January 12, 2022, Respondents filed an opposition to the motion to compel (“Compel Opposition”) and an opposition to the motion to extend discovery deadlines (“Extension Opposition”).

Each motion is discussed and ruled upon below. In addition, a fourth amended scheduling order is provided.

II. Pending Motions

A. Motion to Compel

On November 18, 2021, at the request of the parties, a third amended schedule was issued, which identified December 23, 2021, as the deadline to complete fact depositions; January 7, 2022, as the deadline for providing expert reports; and January 28, 2022, as the deadline for the completion of all discovery. On December 2, 2021, Respondents filed a motion to compel and on December 15, 2021, the motion was denied, without any change to the schedule.

The Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission's Rules also permit the presiding officer to "issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j).

YSN seeks the Associations' revenue and profits, and financial transactions between the Association, Management, and Oberlander that it alleges are related to its allegations that the Association unlawfully acted as for-profit and its alter ego/veil piercing allegations and which were requested on September 3, 2021. Compel Motion at 1.

Respondents assert that the motion to compel is untimely, Respondents have already produced responsive documents, further production would be unduly burdensome and not lead to the production of relevant evidence, and the motion delays resolution of this action. Compel Opposition at 1.

YSN, in its September 3, 2021, discovery requested "Any and all Documents and/or Communications referring or relating to payments or disbursements from the Association to Management and/or Oberlander and/or any third parties of the Association's revenue, profits, reimbursements or other financial transactions between the Association, Management, and Oberlander as they relate to the Shipping Association and its members." Compel Motion at 2.

Respondents responded to the request by stating: "Respondents object to Request for Production No. 8 as overly broad and unduly burdensome. Notwithstanding that objection and without waiver thereof, responsive documents are attached." Compel Opposition, Exhibit A at 5. The parties thereafter exchanged emails about what documents had been produced for this request and Respondents emailed financial statements. Compel Motion, Exhibits 2-5; Compel Opposition, Exhibit B.

Respondents provided financial statements to YSN, although they did not provide copies of the financial transactions, such as bank statements, accounts receivable, invoices, and other documents currently requested. YSN did have the opportunity to depose Ms. Oberlander and question her about the financial transactions. The motion does not support YSN's assertion that the documents produced are insufficient.

Moreover, YSN's delay in filing the motion to compel suggests that these documents were not a priority and YSN had ample opportunity to obtain the information over the ten months that this case has been pending. As explained below, the parties have been provided multiple extensions throughout this proceeding and have been warned to proceed expeditiously. If there were concerns about discovery responses received in October which would impact the ability to provide a timely expert report in January, those issues should have been raised earlier. At this late date, the motion to compel will be denied.

B. Motion for Confidential Treatment

Complainant filed a motion for confidential treatment of the motion to compel to protect materials designated as confidential by Respondents. The motion does not identify which sections of the motion to compel are confidential but a public version was provided. The public version protects from disclosure testimony from Ms. Oberlander's deposition on pages 6 to 7, Ms. Oberlander's deposition transcript in Exhibit 6, and the U Shippers Association Management Agreement in Exhibit 7. Respondents did not file a response to this motion.

Pursuant to Commission rules, parties may request confidential treatment for materials submitted to the Commission. 46 C.F.R. § 502.5. The "motion must identify the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to § 502.201(j)(1)(vii)." 46 C.F.R. § 502.5(b).

Here, the information sought to be protected was filed by YSN but considered confidential by Respondents. In that situation, the parties should coordinate to identify the limited material entitled to protection and the party seeking protection, here Respondents, should show that the material should be protected pursuant to Commission Rules. For the purposes of this motion to compel, the redactions are limited to portions of two pages and two exhibits. It is likely that not all of the testimony provided by Ms. Oberlander is entitled to protection and the parties should discuss what portions of her testimony should be protected prior to filing their briefs and appendix. However, for purposes of this motion, the request for confidential treatment will be granted.

C. Motion for Extension of Deadlines

Complainant seeks an extension of the deadlines because they had not received copies of transcripts from depositions on December 16 and 17, 2021, and only received deposition transcripts for other witnesses on January 4, 2022; Complainant requested subpoenas from the undersigned on December 30, 2021, and will not have responses until the end of January; and Complainant needs the documents requested in the motion to compel to prepare their expert disclosures and report. Extension Motion at 1-2.

Respondents assert that YSN has failed to act with diligence and its motion should be denied; the motion was filed one day before the deadline for expert reports and seeks an extension for over thirty days; and if YSN needed, they could have ordered expedited transcripts. Extension Opposition at 2-4.

Complainant has not justified its request for an extension of the deadlines. If deposition transcripts were needed sooner, they could have been ordered on an expedited basis. If subpoenaed documents were needed, the subpoenas should have been requested earlier. And, as outlined above, the motion to compel was denied. If additional time was needed, the request for an extension should not have been filed the day before the deadline to provide expert reports. The requested extension is denied as it would unduly delay this proceeding, which has been pending for over ten months. However, Complainant will be permitted additional time to file its expert report. Although the motion was denied, there is not a basis to sanction Complainant, which would be the result if they were not provided time to file their expert report. Therefore, the schedule will be extended to allow time to meet the remaining deadlines.

D. Motion to File Expert Report under Seal

On January 7, 2022, the due date for expert reports, Respondents filed a motion to file their expert report under seal, with a copy of the expert report, asserting that in “the event the Presiding Judge were to grant YSN’s belated request for an extension of time for such submissions, the Respondent would be prejudiced by disclosing their Expert Report to YSN a month before YSN had to do so.” Seal Motion at 1-2.

On January 11, 2022, YSN filed its opposition to the motion to file the expert report under seal, asserting:

(1) it is contrary to the Commission’s regulations which specify that a party must not file discovery materials including “expert reports;” and (2) filing of the report *ex parte* with the Presiding Officer and Secretary is improper, potentially prejudicial, and unnecessary in these circumstances. Respondents’ recourse, if any, was to file a protective order (with consent from Complainant) to delay its expert disclosures until such time as the Presiding officer has ruled on the pending motion.

Seal Opposition at 1-2.

Given the rulings above, the motion to file the expert report under seal is moot. Both parties will be provided additional time to file their expert reports and to meet the other remaining deadlines. The expert report was not reviewed by the undersigned and is an *ex parte* submission. As such, the request to file the expert report under seal is denied and the expert report will be stricken from the record.

III. Fourth Amended Schedule

As discussed above, the parties will be provided additional time for the remaining deadlines. The parties are hereby **ORDERED** to comply with the following deadlines:

January 28, 2022	Identify experts and provide expert reports.
February 4, 2022	Disclosure of rebuttal expert reports, if any.
February 18, 2022	All discovery completed.
March 11, 2022	Complainant files brief with proposed findings of fact and appendix.
April 8, 2022	Respondents file opposition brief with proposed findings of fact and responses to Complainant's proposed findings of fact, and appendix.
April 22, 2022	Complainant files reply brief with responses to Respondents' proposed findings of fact.

IV. Order

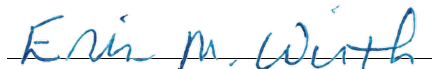
For the reasons outlined above, it is hereby

ORDERED that Complainant's motion to compel be **DENIED**. It is further

ORDERED that Complainant's motion for confidential treatment be **GRANTED**. It is further

ORDERED that Complainant's motion to extend deadlines be **GRANTED IN PART AND DENIED IN PART**. The parties must comply with the deadlines above. It is further

ORDERED that Respondents' motion to file expert report under seal be **DENIED AS MOOT**. The expert report should be stricken from the record.


Erin M. Wirth
Chief Administrative Law Judge